The stock market

One way for firms to raise finance directly from investors is by selling shares (stock). When an investor purchases a share in a company, she owns a share of the firm. This form of finance contrasts with debt financing from the issuing of bonds: bondholders have lent money to a firm, while shareholders actually *own* the firm. As a result, investing in shares is relatively risky but offers a high potential return – if the firm does well it may pay out some or all of its profits in the form of a dividend on each share, and its share price will also rise – in both ways, its shareholders become richer. But if it goes bust, shareholders lose their investment completely. In contrast, bondholders receive the same interest payments even if the firm's share price hits the roof. The trading of shares takes place on central stock markets like the London Stock Exchange. Once a firm has issued shares they can be sold on by investors. Companies' share prices rise and fall depending on firm performance. Stock prices are also affected by the overall state of the economy.